MGT201-SOLVED MCQS BY PIN2.

1. Which of the following is a type of bond?

a) Maturity bond
b) Zero coupon bond
c) Coupon bond
d) All of the given options

Correct option:d) All of the given options

2. Which of the following is known as the theory of irrelevance?

a) Bird in hand theory
b) Traditional theory
c) Net operating income theory
d) All of the given options

Correct option:a) Bird in hand theory

3. Prime objective of a commercial business is:

a) Profit maximization
b) Fulfillment of corporate social responsibilities
c) Economic uplift
d) All of the given options

Correct option: a) Profit maximization

4.A company with _____ interest charges will pay _____ tax.

a) Less, high
b) High, high
c) High, less
d) Less, less

Correct option:c) High, less

5. Which of the following is the general assumption of capital structure theories?

a) Cost of debt < cost of equity
b) All of the given options
c) No taxes
d) There is no change in risk perception of the investors with the change in capital structure

Correct option:d) There is no change in risk perception of the investors with the change in capital structure

6. _____ represents a percentage of debt in the total capital.

a) Operating leverage
b) None of the given options
c) Financial leverage
d) Capital structure

Correct option:c) Financial leverage

7. Cost of capital includes:
a) Cost of bonds
b) All of the given options
c) Cost of common shares
d) Cost of preferred shares

Correct option:b) All of the given options

8. Contribution margin is calculated through:
a) Profit - total fixed cost
b) Sales - total fixed cost
c) Profit - per unit fixed cost
d) Sales - total variable cost

Correct option:d) Sales - total variable cost

9. Leverage is the use of fixed cost to enhance profits; the fixed cost can be:
a) Marginal
b) Both operating and Financial
c) Financial
d) Operating

Correct option: c) Financial